The Reserve Bank of India and Monetary Policy

Introduction to the Reserve Bank of India

The Reserve Bank of India (RBI) is the central bank of India. It is the apex institution that regulates the country's currency, banking system and credit, and manages monetary policy. The central bank of a country plays a key role in keeping the economy stable, prices under control and the financial system safe. The RBI is headquartered in Mumbai and has regional offices in Chennai, Delhi, Kolkata and other cities. Its emblem shows a tiger below a palm tree, inherited from its early days.

When Was the RBI Established?

The Reserve Bank of India was established on 1 April 1935, under the Reserve Bank of India Act, 1934. The creation of a central bank was based on the recommendations of the Royal Commission on Indian Currency and Finance, known as the Hilton Young Commission, in 1926, and ideas given by Dr. B. R. Ambedkar in his book "The Problem of the Rupee", which influenced the commission. The RBI was set up first as a private shareholders' bank, with its headquarters in Calcutta, which was moved to Mumbai in 1937. It was nationalised on 1 January 1949, after independence, and became fully owned by the Government of India. Sir Osborne Smith was the first Governor, and Sir C. D. Deshmukh, who became governor in 1943, was the first Indian Governor. Sanjay Malhotra became the 26th Governor in December 2024. RBI's Golden Jubilee was in 1985 and Platinum Jubilee in 2010, and its 90th anniversary was in 2024-25.

Functions of the RBI

The RBI has several functions. It issues currency notes of all denominations other than the one-rupee note and is the sole issuer of banknotes in India, while coins are minted by the Government of India. It acts as the banker to the government and to commercial banks, and as the "lender of last resort". It regulates and supervises banks and non-banking financial companies, grants licences to banks and protects depositors. It manages the country's foreign exchange reserves and the exchange rate under the Foreign Exchange Management Act (FEMA), 1999. It oversees the payment and settlement systems, including UPI, which is regulated by the RBI and run by NPCI. It promotes financial inclusion and consumer protection through the banking ombudsman scheme, and it has begun a pilot for the digital rupee, e-rupee, launched in December 2022. It also manages public debt for the government.

What Is Monetary Policy?

Monetary policy is the use of interest rates and money supply by a central bank to control inflation, support economic growth and maintain stability. In India, monetary policy is formulated by the Monetary Policy Committee (MPC), established in 2016 under an amendment to the RBI Act, 1934, which is a six-member committee, with three RBI officials, including the Governor who is the chairperson, and three external members appointed by the Government. The MPC meets at least four times a year, usually every two months, and announces its decisions, including the policy repo rate. India follows flexible inflation targeting: the government has set the target of 4 percent consumer price index (CPI) inflation, with a tolerance band of plus or minus 2 percentage points, meaning between 2 and 6 percent.

What Is the Repo Rate?

The repo rate, short for repurchase rate, is the interest rate at which the RBI lends short-term money to commercial banks against government securities as collateral. When banks need funds, they borrow from the RBI at this rate, with an agreement to repurchase the securities later. It is the main policy rate. When the repo rate falls, banks can borrow cheaply and are able to lower the interest rates on home loans, car loans and business loans, which encourages spending and investment. When it rises, loans become costlier and borrowing and spending fall. The rate at which the RBI borrows money from banks is the reverse repo rate, which has been replaced in practice by the Standing Deposit Facility (SDF) rate since April 2022, and the Marginal Standing Facility (MSF) rate is the rate for emergency overnight borrowing by banks. The repo rate was 6.5 percent from February 2023 until the RBI began cutting it in February 2025 to 6.25 percent, then 6.0 percent in April 2025 and 5.5 percent in June 2025, and the current rate should be checked on the RBI website as it changes at policy meetings.

How Does the RBI Control Inflation?

The RBI controls inflation mainly by managing the cost and supply of money. When inflation is too high, the RBI raises the repo rate, which makes loans costlier, reduces spending and investment and lowers demand, which eases price pressures. It may also raise the Cash Reserve Ratio (CRR), the percentage of deposits that banks must keep with the RBI in cash, so banks have less money to lend, and the Statutory Liquidity Ratio (SLR), the portion of deposits banks must hold in government securities or gold. It conducts open market operations (OMOs), selling government securities to suck out extra liquidity from the system, and buying them to inject liquidity. It also uses forex operations to manage the exchange rate, which affects import prices. When inflation is low and growth is weak, the RBI does the opposite, cutting rates and adding liquidity. Since much of India's inflation, especially for food, comes from supply problems such as poor monsoons, monetary policy works best together with government supply-side measures.

RBI and Chennai

The RBI's regional office in Chennai, on Rajaji Salai, looks after Tamil Nadu and Puducherry. Indian Bank, founded in Madras in 1907, and Indian Overseas Bank, founded in Madras in 1937, are public-sector banks headquartered in Chennai and regulated by the RBI.

Challenges and Future

The RBI faces challenges such as keeping inflation low while supporting growth, global financial shocks, cyber threats and fraud, and the rise of digital currency. The future includes the wider use of the digital rupee, stronger consumer protection and tools of artificial intelligence in supervision.

Quick Facts

- The RBI was established on 1 April 1935 and nationalised on 1 January 1949.
- The repo rate is the rate at which the RBI lends short-term money to banks.
- The RBI controls inflation by raising the repo rate, CRR or SLR and by selling government securities.
- India's inflation target is 4 percent with a band of plus or minus 2 percentage points.
- The six-member Monetary Policy Committee, formed in 2016, decides the policy repo rate.